THE ENVIRONMENTAL RECKONING

If jobs are one source of scepticism, ecology is another. The debate unfolding around Visakhapatnam echoes concerns increasingly being voiced across the world. Data centre capacity is expressed in gigawatts because electricity consumption defines the scale of these facilities. They also require vast amounts of water and occupy large tracts of land—Google's project alone spans 600 acres across three sites. In September 2025, just before Google announced its Vizag investment, it abandoned a proposed $1 billion data centre campus near Indianapolis in the US following sustained local opposition over water consumption, electricity demand and limited job creation.

Environmentalists in Visakhapatnam say similar questions deserve closer scrutiny. According to the Union ministry of power, electricity demand from data centres across India is projected to reach 13.56 GW by 2031-32. Civil society groups, including the Greater Visakhapatnam Citizens' Forum (GVCF) and Human Rights Forum (HRF), warn that the data centres could turn into "heat islands" while placing additional stress on local water resources. Former Union finance and power secretary E.A.S. Sarma, now an environmental campaigner, argues that projects spread across hundreds of acres and consuming enormous quantities of water and electricity offer "not even a pittance" in jobs for local communities.

HRF alleges that tree-felling, hill-cutting and road construction for the Google project have already begun in the Kailasagiri forest stretch within the Simhachalam hill range, close to the Kambalakonda Wildlife Sanctuary and its ecosensitive zone. Along with GVCF, it has questioned the environmental clearance process, arguing that the project is being considered as a Category B development, thereby avoiding a more comprehensive environmental impact assessment (EIA) and wider public consultation.

The campaign has also drawn national attention. Water conservationist Rajendra Singh recently visited the Mudasarlova reservoir—one of Visakhapatnam's principal sources of drinking water—and warned that excavation in the Simhachalam hills and construction for the data centres could disrupt the natural drainage channels feeding the reservoir. "If the place is made unliveable, what use is such development?" he asked. Water remains a vital concern. In a recent letter to Naidu, Sarma warned that diverting water from irrigation and drinking water projects to the data centres could create shortages in surrounding villages and affect agriculture. He estimates that a 1.5 GW data centre would require around 12 million gallons of water a day to cool thousands of servers.

VISAKHAPATNAM MP BHARAT MATHUKUMILLI HAS DISMISSED THE CAMPAIGN AGAINST THE DATA CENTRES AS "MISINFORMATION"

The Andhra Pradesh government dismisses these concerns. Speaking in Mumbai in early June, Nara Lokesh welcomed a dialogue with the critics, but argued that comparisons with the US were misplaced because India has an integrated national power grid. He also rejected fears over water use, saying nearly 3,000 TMC (thousand million cubic feet) of Godavari water flows into the Bay of Bengal annually without being utilised. "Even the 6.5 GW data centres we intend to build," he said, "will require only one TMC. In comparison, a 1 GW thermal power plant consumes seven times more water."

Visakhapatnam MP Bharat Mathukumilli has dismissed the campaign against the data centres as "misinformation". He argues that existing and planned water infrastructure, including the under-construction Polavaram multipurpose irrigation project, will comfortably meet future domestic and industrial demand. He also says the data centres have secured all statutory clearances after a thorough EIA and that safeguards such as compensatory afforestation and heat-mitigation measures "will be implemented wherever required".

It may not be enough to suppress the concerns. Even sections of Visakhapatnam's IT industry are urging the government to release a detailed white paper to address concerns surrounding the data centre projects. Only then will Naidu's dream of turning Vizag into India's data centre hub be saved from becoming a nightmare. ■

CONCERNS VS PROMISES

JOBS

CRITICS: Generous incentives to firms despite modest direct employment

GOVT: Data centres will spur AI, cloud and wider ancillary industries

POWER

CRITICS: Energy-hungry facilities could deepen sustainability concerns

GOVT: India's unified power grid can support growth in data centre capacity

WATER

CRITICS: Cooling requirements could strain drinking water and irrigation supplies

GOVT: Demand is manageable, can be met through Godavari-linked supplies

ENVIRONMENT

CRITICS: Hill-cutting, tree loss and risk to reservoirs, wildlife and local ecosystems

GOVT: Concerns are overstated; projects compliant with statutory approvals